

NGL Fine Chem Ltd — Concall Tracker

What the last three years of earnings calls tell us about the earning trigger and management honesty · Report date: 5 July 2026 · Source: Screener.in concall transcripts (Q4 FY23 → Q4 FY26)

1. Snapshot

What the company does: NGL Fine Chem makes **veterinary APIs** — an API (Active Pharmaceutical Ingredient) is the actual drug substance inside a medicine. Roughly **95% of its sales are animal-health drug substances** (mostly for farm animals like cattle and buffalo, which need far more medicine per animal than pets). It is a business-to-business maker of off-patent (generic) chemicals: it sells the raw drug powder to other companies that turn it into finished medicines. About **70% of sales are exports** and 30% is within India. It has been in veterinary APIs since 1997.

₹1,981 cr

Market value of the company (what the whole business is priced at on the stock market)

₹501 cr

FY26 revenue (total sales for the year — up 36% on FY25's ₹368 cr; a strong rebound)

₹48 cr

FY26 net profit (final profit after all costs and tax — up 128%, more than double FY25's ₹21 cr)

14.5%

FY26 operating margin (operating profit as a share of sales — recovered from FY25's 9%, but still below the ~20% of the good years)

47.6x

Price-to-earnings (share price divided by per-share profit — a high number, so the market is paying up for a recovery)

~₹88 cr

Debt on the books (money borrowed, mainly to fund the new plant — small relative to the business)

2. Concall coverage

Seven earnings calls were read in full, oldest to newest — spanning just over three years, from the depths of the downturn through the FY26 recovery. The same two people (Managing Director Rahul Nachane and CFO Rajesh Lawande) ran every call, so the voice is consistent.

Quarter	Call date	Read?	One-line state of the business
Q4 FY23	19 May 2023	Yes	Prices crashing (China dumping from Feb 2023); margins pressured
Q2 FY24	20 Nov 2023	Yes	First green shoots — margins bounce as raw-material costs fall
Q4 FY24	28 May 2024	Yes	Full-year recovery; margin 16%; capex "on track"
Q2 FY25	12 Nov 2024	Yes	Back-slide — oversupply returns, margins fall again
Q4 FY25	26 May 2025	Yes	Trough year — margin just 9%; heavy price erosion
Q2 FY26	18 Nov 2025	Yes	Broad-based demand recovery confirmed
Q4 FY26	25 May 2026	Yes	Third strong quarter; profit doubled; most upbeat tone in years

Note: Screener listed 18 calls; the June 2021 transcript was unavailable, and one November 2023 file was a duplicate. Both fall outside the three-year window and do not affect the analysis. The latest call (Q4 FY26) was present and read.

★ Latest concall highlights — Q4 & FY26 (call held 25 May 2026)

- **Sales jumped.** Q4 revenue ₹149 cr, up 57% on the same quarter last year; full-year revenue ₹501 cr, up 36%. In plain terms: a lot more product sold, helped by better plant use and demand across many countries.
- **Profit more than doubled.** FY26 net profit ₹48 cr versus ₹21 cr — the reward for volumes recovering after three lean years. Operating margin recovered to 14.5% (from 9%).
- **Prices are finally being passed on.** Management said they secured a *partial* price increase to customers in the first quarter of FY27 — meaning they can start recovering some of the cost inflation they had been absorbing.

- **New plant slipped again.** Phase 2 of the Tarapur greenfield plant (five clean rooms) was pushed from Q1 FY27 to early Q2 FY27 due to gas and labour shortages; commercial output still expected in the second half of FY27. Total spend budget is now ₹210 cr (up from ₹160 cr), of which ₹183 cr is already spent.
- **Tone:** the most confident in three to four years — an analyst on the call called it "the most bullish we have seen." Management stayed cautious on giving hard numbers.

Business mix & capacity — quick facts

- **Product mix:** Animal-health APIs = **95% of revenue** (Q4 FY26). Human APIs are a tiny sliver.
- **Where sales go:** roughly **70% exports / 30% India** — nearly two-thirds of the business is overseas.
- **How busy the plants are:** the older base plants run at **~90–95%** (very little room left); the new Phase 1 unit is at **~70–80%** and ramping. Read: the old plants are basically full, which is exactly why the new plant matters.
- **How spread out the business is:** top 10 customers = 29% of sales; top 10 products = 66% of sales — reasonably diversified, and less concentrated than a few years ago.
- **Outsourcing:** about 15–20% of production (mostly intermediates) is farmed out to job-workers to meet demand while capacity is tight.

★ 3. Earning-trigger thesis — what management says will grow profit

There are really three drivers stacked on top of each other. The **near-term** one is a **cyclical recovery**: after three years of oversupply and Chinese price-dumping, demand has come back and volumes are growing strongly (three good quarters in a row, revenue +36%). The **medium-term** driver is the **new Tarapur plant plus a wider product range** (from ~20 APIs three years ago to ~45 now). The **big long-term** driver — and the reason the story is interesting — is **moving into the regulated markets of the US and Europe**, where margins are said to be roughly double the rest-of-world business, but where entry depends on slow regulatory approvals.

Trigger	What management said	Evidence so far	Time horizon	Strength
Cyclical demand recovery	Down-cycle bottomed; demand broad-based; partial price pass-through now underway	FY26 revenue +36%, profit +128%, three strong quarters — clearly showing up	Now (live)	Strong — but cyclical, not proven structural
New plant + product range	Tarapur plant to add ₹350–400 cr peak revenue; adding 9–10 new APIs a year	Phase 1 live and contributing; Phase 2 due H2 FY27; product count doubled to ~45	2–4 years to full ramp	Moderate — Phase 1 delivering, Phase 2 delayed
US + Europe regulated entry	~2× margins; 3 EU approvals + 5 registrations done; first US filing Sept 2025	Small EU sales started (~₹25–30 cr guided); US audit/approval still 1–2 yrs away	FY28 for meaningful sales	Unproven — real progress, but far off and regulator-dependent

4. Management consistency scorecard — promised vs delivered

Period	What was promised / said	What actually happened	Verdict
FY23–FY24	"Long-term margins are 17–22%"; the down-cycle is temporary	Margins fell to 9% (FY25). The band was quietly walked down to "15–18%" — and they are only "close" to it now	Missed / downgraded
FY23 onward	New plant on stream "by March 2024," then Phase 1 by Q2 FY25, Phase 2 by Q3 FY26	Repeatedly slipped: Phase 1 came later; Phase 2 now early Q2 FY27. Budget crept ₹160 cr → ₹210 cr	Partly — delayed & over budget, but disclosed
FY23–FY24	"Existing plants can do ₹350–400 cr of revenue at peak"	FY26 revenue hit ₹501 cr (helped by outsourcing) — comfortably beat the figure	Delivered / exceeded
FY23	"Add ~5 new products a year, reach 35 APIs"	Only 3 launched in FY24 (missed), but pipeline later rebuilt to ~45 APIs	Partly — missed then recovered
2023–2026	US market "about 3 years away"; EU registrations in "18–20 months"	EU took 24+ months; US still ~FY28. Progressing but slower than first guided	Too-early / slipping
FY24	Called the demand recovery "cautiously optimistic," refused to over-claim	Recovery did arrive (FY26); their caution proved sensible, not sandbagging	Delivered on tone

Narrative drift: Very little. The core strategy — a rest-of-world volume base, moving up into higher-margin regulated markets, a new plant, and a wider product basket — has been told the same way in every call since 2023. Management has been unusually candid: they named China dumping as the cause of the crash, openly lowered their own margin target rather than pretend, and admitted the capex was late and over budget. The one

blemish on openness is that from FY24 they stopped answering product-specific questions, citing competitors. The recurring weak spot is **timelines** — the plant and the regulated-market entry have both been pushed out more than once, though the delays are largely external (regulators, gas/labour) and always disclosed.

5. Bottom line — two verdicts

Durable earning trigger? → **MAYBE**

There *is* a real, live driver: the recovery is clearly showing up — revenue up 36%, profit doubled, three strong quarters, and prices finally starting to be passed on. But much of that is a **cyclical bounce off a very deep trough**, not yet proven to be structural: margins (14.5%) are still well below the ~20% of the good years, management themselves say the old margins may not return for two to three years, and the industry stays oversupplied. The genuinely *durable* pieces — the new plant filling up and the move into US/Europe regulated markets at double margins — are real and progressing but are still 2–3 years from meaningful contribution and hinge on regulator approvals outside the company's control. A trigger is visibly at work; its durability is not yet earned. Hence MAYBE.

Management consistent? → **YES**

Across three years and seven calls the strategy has not drifted, and the leadership has been refreshingly honest — naming the cause of the downturn, lowering their own margin guidance rather than spin it, and owning the capex delays and cost overrun. They beat their existing-capacity revenue guide and their cautious read of the recovery proved right. The marks against them are real but they are **timing and target slippages** (margin band walked down 17–22% → 15–18%; plant and US/EU entry repeatedly pushed; a product-launch target missed in FY24) rather than broken promises or a changing story, and every one was disclosed on the call. Consistent and candid — a deserved YES, with the standing caveat that their timelines should be discounted.

Prepared from NGL Fine Chem Ltd earnings-call transcripts (Screener.in), Q4 FY23 to Q4 FY26, cross-checked against the company's reported profit-and-loss and quarterly figures. FY26 headline figures are as reported by management on the Q4 FY26 call (revenue ₹500.95 cr, EBITDA ₹72.69 cr, PAT ₹48.13 cr); Screener's standalone table shows the same direction. For information only — not investment advice.